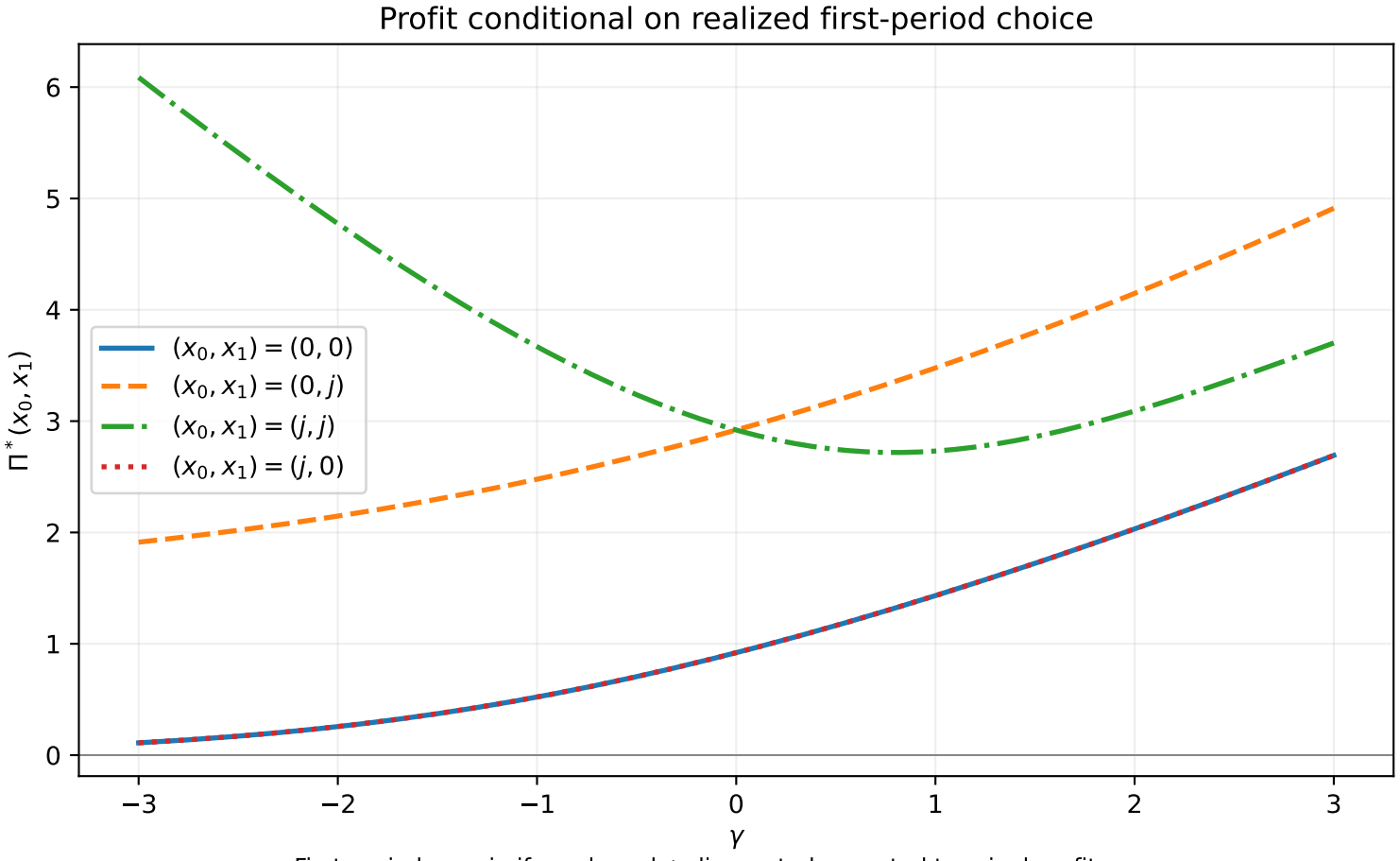
Profit conditional on realized first-period choice
$\Pi^*(x_0, x_1)$
γ
First-period margin if purchased + discounted expected terminal profit
$(x_0, x_1) = (0, 0)$
$(x_0, x_1) = (0, j)$
$(x_0, x_1) = (j, j)$
$(x_0, x_1) = (j, 0)$
0
1
2
3
4
5
6
−3
−2
−1
0
1
2
3